

Salomon Vs A. Salomon & Co. Ltd. (1897)

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Introduction

Salomon Vs A. Salomon & Co Ltd., is one of the important landmark case in company law. This case provides the concept of separate legal entity of a company. Separate legal entity means company and the owner are different. There is no connection between company and the owner. This case becomes the foundation of company law and followed till today.

Detail of the Case

- Title: Salomon Vs A.Salomon & Co. Ltd.,
- Date of Judgement: 1897
- Appellant: Mr. Aron Salomon
- Respondent: A.Salomon & Co. Ltd.,
- Type of Case: Company Law Case
- Court: House of Lords, England

Fact of the Case

Mr. Aron Salomon is a successful businessman running a leather boot and shoe business as a sole trader.

He wants convert his business into a company. He wants to make his company as Limited Liability Company called A.Salomon & Co. Ltd.,

As per the law a company must contain at least seven shareholders. So, he decided to his family members: Five Children, Mrs. Salomon to make the shareholder of the company. However Mr. Salomon held the majority of the share.

The company had a total of 20,007 shares. Mr. Salomon holds 20,001 shares, while the remaining shares are held by the family members.

Later, He sold his leather shoes and boots business to the A.Salomon & Co. Ltd. In return he received shares in his company and also received £10,000 in debentures.

It gave Mr. Salomon a secured claim against the company asset. Later, the company faced financial difficulties. The sales of boots and shoes declined. And the company were unable to

pay all the debts. The company went into liquidation. The creditor argued that Mr. Salomon and his company is same. He is responsible for the debts. And he had to pay all the debts.

Legal Issue of the Case

- Was A.Salomon & Co. Ltd. a separate legal person?
- Was Mr. Salomon being solely responsible for the company's debt?
- Could a person who controlled almost the company still enjoy limited liability?
- Was the company merely an agent or representative of Mr. Salomon?

Judgement

Trial Court Decision

At the trial court, the case was decided by Vaughan Williams J. He believed that A. Salomon & Co. Ltd. is just another form of Salomon. He said that other person who signed in the company formation were only dummy shareholder. They were only to satisfy the legal requirement.

Therefore he orders that Salomon was responsible to pay all the debt behalf of company from his personal assets.

Court of Appeal

Court of Appeal also agreed to trial court. They also felt that shareholders are only meant for satisfying the legal requirement.

Lindley LJ said that company was only created to benefit Mr. Salomon himself. Therefore, Mr. Salomon is responsible to compensate the company for its debts and liabilities.

Lopes LJ and Kay LJ described that company was almost a fiction because Mr. Salomon was a person who actually controlled and benefited from the business.

House of Lords

Mr. Salomon then appealed to the House of Lords which is the highest court of that time.

The House of Lords decided in favor of Mr. Salomon and overturned the judgement of Trial Court and Court of Appeal.

The House of Lords held that A.Salomon & Co. Ltd. was a properly formed company and separate legal person from Mr. Salomon. The court stated that law required seven shareholders, but it did not say that all the shareholders had to be independent from each other or each must have an equal amount of control. So it did not make the company invalid.

Lord Halsbury explained that judges cannot add extra condition to law. If the legal requirements for forming a company are properly followed then the company is legal company. The court cannot say that is not a company just because one person controls most of it.

The House of Lords rejected the argument that the company was merely an agent or trustee of Mr. Salomon.

This judgement became the foundation of the important company law principle of separate legal person.

Legal Principle

From this case it clear that a company is separate legal person. It means that company and the owner are different. And there is no relationship between the company and the owner.

As the company is a separate person, it has the rights to own property, borrow money, enter into a contract.

Shareholders are only liable up to the money they invested or agreed to contribute to the company. If the company faces any losses, the personal property of the shareholders is protected. And they cannot claim from the personal property.

The legal separation between the company and its members is called corporate veil. It protects the shareholders from being personally responsible for the company's debt. The corporate veil

may be lifted in special situations such as fraud, illegal activities, or misuse of the company structure.

Business Relevance

The most important benefit is that shareholders' personal property is generally protected from company debts. The principle of limited liability encourages people to start companies and invest money.

Business must understand that a company is legally different from its owners. The company's money should be kept separate from the personal money of the shareholders.

Property can be bought in the name of the company belongs to the company and not directly to the shareholders. When the company borrows money, the company is responsible for repaying that money.

A company continues to exist even if a shareholder dies, leaves the company, or transfers their shares. The company has a separate identity.

Conclusion

Salomon Vs. A. Salomon & Co. Ltd. case is an important landmark case. This case gives an idea about the concept of separate legal entity and corporate veil. This judgement is one of the most important foundations of modern company law. It helps businesses understand the difference between the company and its owner, encourages investment and entrepreneurship, and provides protection to shareholders. However, this protection cannot be misused for fraud or illegal purposes, and courts can lift the corporate veil in special circumstances.